

Project Apex: 2026–2028 Global Unified Cloud & Logistics Transformation Strategy

1. Executive Summary and Strategic Goals

Project Apex is the comprehensive roadmap for unifying our EMEA and AMER operational divisions. To maintain market leadership, the Board of Directors has authorized this transformation to achieve two primary strategic goals:

- **Strategic Goal 1 (SG1):** Reduce global IT operational expenditures by 25% through the consolidation of legacy on-premise infrastructure into a unified cloud environment.
- **Strategic Goal 2 (SG2):** Increase supply chain throughput by 15% via the deployment of automated, AI-driven logistics hubs in our three primary European distribution centers.

2. IT Infrastructure & Cloud Migration

The cornerstone of Project Apex is the deprecation of our legacy hardware. The Cloud Migration Phase requires absolute data fidelity and security.

2.1. Legacy Data Extraction

The migration requires the complete extraction of 15 years of customer interaction data from the legacy 'System 7' database. This extraction process requires uninterrupted API access to the core data lake for a continuous 90-day period.

2.2. Data Privacy Compliance Directive

To comply with the updated 2026 European Data Protection regulations, a new Data Privacy Compliance Directive will be enforced globally. This directive mandates that, effective immediately, all bulk data extractions from legacy systems are strictly blocked to prevent unauthorized data exfiltration.

2.3. Identity and Access Management (IAM) Core

A new, unified Identity and Access Management (IAM) Core will be deployed. The IAM Core is an absolute prerequisite. The Cloud Migration Phase requires the IAM Core to be fully operational. Furthermore, the new HR Employee Portal requires the IAM Core. The Supplier Extranet upgrade requires the IAM Core. Finally, the new Customer Mobile Application launch also requires the IAM Core to authenticate users.

3. Supply Chain and Logistics Overhaul

To achieve SG2, we are overhauling our physical distribution networks across Europe.

3.1. Automated Sorting System Installation

Our distribution centers will be retrofitted with advanced robotics. The Automated Sorting System Installation is a massive physical engineering undertaking. It is scheduled to begin on May 1, 2026, and due to hardware supply chain constraints, the installation phase will conclude on November 15, 2026.

3.2. European Logistics Hub Launch

The grand opening and operational launch of the European Logistics Hubs will mark the completion of our supply chain overhaul. For safety and operational integrity, the European Logistics Hub Launch must start after the Automated Sorting System Installation is 100% complete and certified. To meet Q4 retail demands, the European Logistics Hub Launch is scheduled to begin strictly on October 1, 2026.

4. Internal Corporate Culture Initiatives

As we scale our operations, employee morale and workplace culture remain a top priority for the human resources department.

4.1. Project Metaverse VR Breakroom

To foster remote collaboration, the HR team is launching "Project Metaverse VR Breakroom." This initiative will procure virtual reality headsets for all 4,000 remote employees and build a digital lounge space. This project has an allocated budget of £1.2 million and is scheduled to run from June 2026 through December 2026. It operates independently and does not relate to our cloud consolidation or our logistics throughput targets.

5. Vendor Management and Compliance

All third-party vendors must undergo a rigorous vetting process before touching our internal networks.

5.1. Vendor Security Audit

Before any external software is integrated, the compliance team must complete a Vendor Security Audit.

5.2. Customs API Integration

The European Logistics Hub relies heavily on cross-border trade. Therefore, the hub requires

the Customs API Integration module to function. In turn, the Customs API Integration requires the completion of the Vendor Security Audit for the software provider.